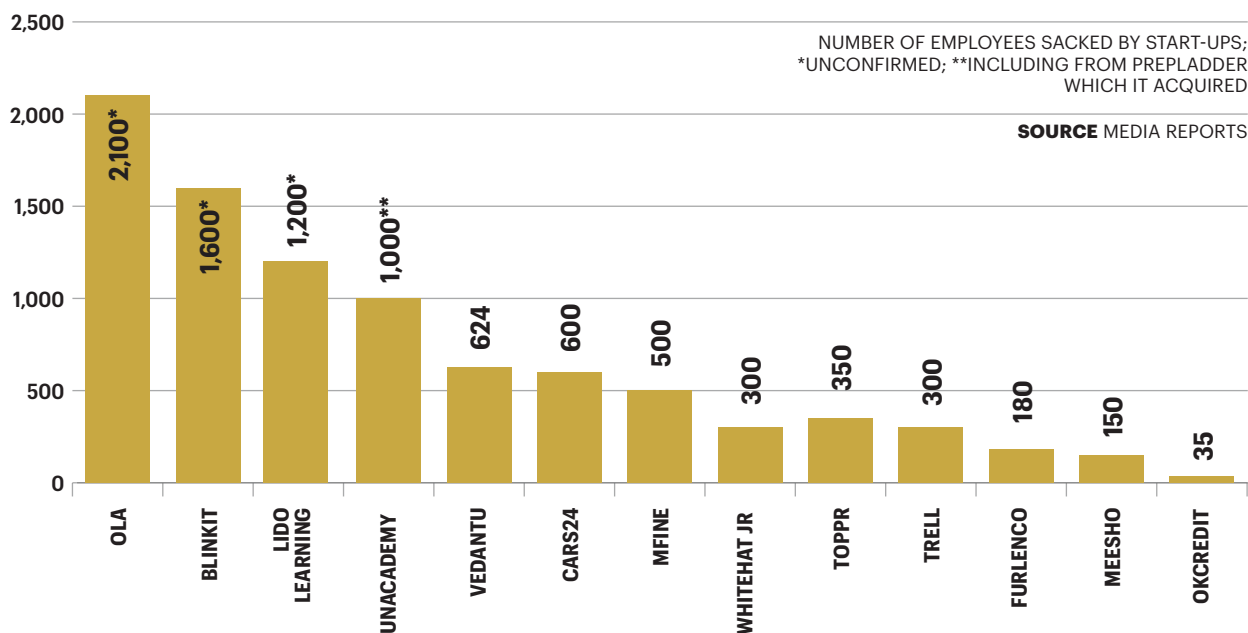


SHAKE OUT

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tive now than it was. Their valuations have certainly come down.”

The edtech sector stands out in terms of lay-offs, as several well-known firms let go of employees. Last year, edtech was the third most-funded sector after e-commerce and fintech. It attracted \$4.2 billion in funding and produced three unicorns—Eruditus, upGrad and Vedantu, according to data from Venture Intelligence. Unlike the more permanent thrust digital payments got from 2016’s demonetisation, the pandemic’s fillip to edtech has paled since. “Online education was only a stop-gap. Now, no one wants to send their children to online classes. Subscriptions and renewals are not happening,” says CareerNet’s Das.

AND AS IT’S GETTING harder to raise funds, gaps between fund raises are expanding, and bigger cheques are harder to come by, VC firms are telling their investee firms to just weather the storm and stay afloat. Their dictat: conserve cash and

TORRID TIMES

- Late-stage start-ups are experiencing more stress than the early-stage ones
- VCs are advising portfolio firms to conserve cash and ensure an 18-24-month runway
- One of the ways to do that is to cut manpower costs. Apart from laying off employees, start-ups are going slow on hiring and correcting salaries
- Potential employees should check the background of founders and investors, funding, the sector’s scope and the impact of one’s role while evaluating an offer

ensure an 18-24-months’ runway. Anything lesser, according to Ganesh, is risky. “Any VC’s nightmare is that companies will run out of money before they are able to raise the next round of money.” B Capital’s Mohla concurs. “It’s not easy to apply brakes on such fast-track growth. But it’s better to pick up the pace when things improve. You can’t keep applying brakes every six months. You can’t fight the market forces whether in the private side or public side. If there is uncertainty, you have to adapt.”

As start-ups reset targets and focus on sustainable growth, talent cost is certainly one of the things to cut down on, says Mohla. “Last year, the focus was on growth at the cost of profitability and high cash burn to increase valuation,” says Ganesh. Now valuation doesn’t matter as much as the runway. “One of the main levers of extending the runway is to cut manpower,” he adds.

Flipkart and Darwinbox declined to comment, while Delhivery didn’t respond to *Business To-*